

Calendar line 9

Case Name: *Yen Lucero v. Ha Vu Le Dao, et al.*

Case No.: 26CV483739

**MOTION TO QUASH OR IN THE ALTERNATIVE, MODIFY SUBPOENA DUCES
TECUM OF DEFENDANT'S KHOI NGUYEN TRUONG AND HIEN VAN DAO;
REQUEST FOR PROTECTIVE ORDER**

BACKGROUND

Plaintiff Yen Lucero filed this action seeking to avoid allegedly fraudulent transfers and obtain related relief. The complaint alleges that Defendant, HA VU LE DAO, (“Judgment Debtor”), is the judgment debtor in the related case, Yen Lucero V. Ha Vu Le Dao & Walter Nguyen, Santa Clara County Superior Court Case No. 21CV375921. Plaintiff obtained a judgment that was duly entered in favor of Plaintiff and against Judgment Debtor in the amount of \$69,200.95, plus accruing interest and costs as of on October 25, 2024.

The complaint further alleges that on or about March 10, 2025 (hereinafter 'the Transfer Date'), Defendants Nguyen and Dao purchased real property located at 536 Cinnamon Dr, San Jose, CA 95111 (hereinafter 'the Subject Property'), for a purchase price of \$725,000.00, with a substantial down payment of \$425,000.00. Plaintiff alleges that the judgment debtor made substantial cash withdrawals from her bank accounts, and/or transferred funds to Defendant Nguyen, Defendant Dao, or other entities, which funds were used, in whole or in part, to fund the \$425,000.00 down payment for the Subject Property.

On May 5, 2026, plaintiff served Notices to Consumer and Deposition Subpoenas for Production of Business Records directed to financial institutions, including Wells Fargo Bank, JP Morgan Chase, and Bank of America seeking extensive banking and financial records concerning Hien Van Dao and Khoi Nguyen Truong. The subpoenas seek records dating from January 1, 2019 through the present, including all monthly account statements, wire transfers, deposits exceeding \$5,000, cashier's checks, loan applications, and financial statements.

Defendants timely filed this motion as overbroad, invasive, and premature. No opposition has been filed.

LEGAL STANDARD

Code of Civil Procedure section 1987.1 provides that a court may make an order quashing a subpoena entirely, modifying it, or directing compliance with it upon such terms or conditions as the court shall declare, including protective orders. The court may in its discretion award the amount of reasonable expenses incurred in making or opposing the motion, including reasonable attorney's fees, if the court finds the motion was made or opposed in bad faith or without substantial justification, or that one or more of the requirements of the subpoena was oppressive.

Code of Civil Procedure section 1987.2 governs subpoenas for personal records maintained by third parties and requires that notice be given to the consumer whose records are sought. When

records of a party are sought from a third-party custodian, a motion to quash under section 1987.1 is the proper method of objection.

Discovery is governed by Code of Civil Procedure section 2017.010, which permits a party to obtain discovery regarding any matter, not privileged, that is relevant to the subject matter involved in the pending action if the matter either is itself admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence. Discovery may be limited where the burden, expense, or intrusiveness clearly outweighs the likelihood that the information sought will lead to the discovery of admissible evidence. Code of Civil Procedure section 2017.020.

The party seeking discovery from a third party bears the burden of establishing relevance and need. Financial records implicate significant privacy interests under the California Constitution. The party seeking such records must demonstrate that the information sought is directly relevant and essential to the fair resolution of the lawsuit, and that the scope of discovery is narrowly tailored to serve that need.

ANALYSIS

A. Temporal Scope

The subpoenas seek financial records from January 1, 2019 through the present—a period exceeding seven years. The alleged fraudulent transfer occurred on March 10, 2025. The judgment underlying plaintiff's claim was entered on October 25, 2024.

Plaintiff's complaint alleges that the judgment debtor made substantial cash withdrawals from her bank accounts, and/or transferred funds to Defendant Nguyen, Defendant Dao, or other entities, which funds were used, in whole or in part, to fund the \$425,000.00 down payment for the Subject Property. The complaint also alleges that the judgment debtor failed to provide bank statements (prior to June 2025) and references approximately \$19,000.00 in cash withdrawals from accounts provided by Judgment Debtor from June 2025 to November 2025.

The subpoenas are addressed to the moving defendants Hien Van Dao and Khoi Nguyen Truong—who are parties to this action but are not the judgment debtor Ha Vu Le Dao. The complaint alleges that these defendants purchased the property using funds allegedly transferred from the judgment debtor.

Records dating back to January 1, 2019—more than five years before the judgment and nearly six years before the alleged transfer—are facially overbroad absent some articulated connection to the fraudulent transfer claims. Defendants contend that Plaintiff provides no explanation why records dating back to 2019 are relevant to allegations concerning a 2025 real estate transaction. Plaintiff has filed no opposition and has not articulated any basis for seeking records from that date.

To establish a fraudulent transfer claim, plaintiff must trace the source of the funds used for the March 2025 purchase. A reasonable scope for records of the alleged transferees would encompass a period sufficient to establish their financial condition before the transfer, the

source of funds for the down payment, and any subsequent transactions that might indicate knowledge of fraud or continuing wrongful conduct.

The court finds that records from May 1, 2024 (approximately six months before the entry of judgment) through the present are reasonably calculated to lead to admissible evidence regarding the alleged fraudulent transfer in March 2025. This timeframe captures a reasonable pre-judgment period in which relevant transfers between the judgment debtor and the moving defendants may have occurred, together with the period from the entry of judgment through the alleged transfer and the months thereafter. It permits plaintiff to trace the source and use of funds used for the down payment while avoiding the excessive burden and privacy intrusion of more than seven years of financial records.

The motion to modify the temporal scope is GRANTED. The subpoenas are modified to seek records from May 1, 2024 through the present.

B. Request No. 1: Monthly Account Statements

Request No. 1 seeks "All monthly account statements for all checking, savings, and money market accounts". Monthly account statements for the relevant period (as modified above) are reasonably calculated to show the source of the \$425,000 down payment and any transfers between the judgment debtor and these defendants. As modified by the temporal limitation, this request is appropriately tailored.

C. Request No. 2: Wire Transfers

Request No. 2 seeks "All records of incoming and outgoing wire transfers, specifically including international wire transfers from Vietnam or other foreign jurisdictions". Wire transfer records are directly relevant to tracing the alleged fraudulent transfer and establishing the source of funds for the property purchase. As modified by the temporal limitation, this request is appropriate.

D. Request No. 3: Large Cash Deposits

Request No. 3 seeks All deposit slips and records of cash deposits exceeding \$5,000.00. This request is reasonably tailored to the allegations in the complaint regarding "substantial cash withdrawals" allegedly used to fund the down payment. The \$5,000 threshold reasonably limits the scope while capturing potentially relevant transfers. As modified by the temporal limitation, this request is appropriate.

E. Request No. 4: Cashier's Checks

Request No. 4 seeks "All records of cashier's checks issued or deposited, specifically those used for the purchase of real property at 536 Cinnamon Dr. San Jose, CA". This request is directly tied to the alleged fraudulent transfer and the purchase of the subject property. It is narrowly tailored and appropriate.

F. Request No. 5: Loan Applications and Financial Statements

Request No. 5 seeks All loan applications or financial statements submitted by the account holder to the bank. Defendants argue that this request "is exceptionally invasive and would disclose confidential information far beyond any issue raised by the Complaint" and request that Request No. 5 be quashed in its entirety.

The complaint alleges that "Defendants Nguyen and Dao obtained a loan in the amount of \$300,000.00 from JPMORGAN CHASE BANK NA for the purchase of the Subject Property". A loan application for the mortgage on the subject property would reflect the source of the down payment funds and defendants' representations regarding their financial condition at the time of the transfer. Such information is directly relevant to plaintiff's fraudulent transfer claims.

However, Request No. 5 as written seeks all loan applications and financial statements submitted to any bank, not limited to the loan for the subject property. This sweeps too broadly. The request is modified to seek only loan applications and financial statements submitted in connection with the purchase of the property located at 536 Cinnamon Drive, San Jose, CA 95111.

As so modified, Request No. 5 is narrowly tailored to the transaction at issue and is appropriate.

G. Defendants' Procedural Arguments

Defendants contend that this action is also subject to a pending Demurrer and a pending Motion to Expunge Lis Pendens and argue that the Court should first determine whether Plaintiff possesses viable claims and whether the Lis Pendens survives judicial review before compelling disclosure of financial records. The mere pendency of a demurrer or motion to expunge a lis pendens does not automatically stay discovery. If defendants believed discovery should be stayed pending resolution of threshold motions, the proper course was to seek a formal stay. No such stay has been granted, and the court declines to impose one at this stage given the substantial modification to the subpoenas ordered herein.

Defendants also argue that Plaintiff has also pursued related relief in Defendant Ha Vu Le Dao's Chapter 7 bankruptcy proceeding, including a Rule 2004 examination request and an adversary proceeding and that the issues raised in those proceedings substantially overlap with the allegations Plaintiff relies upon in seeking the financial records at issue here. The existence of parallel bankruptcy proceedings does not preclude discovery in this action. These are separate proceedings that may involve different parties, different claims, and different remedies.

H. Privacy Concerns and Protective Order

Defendants correctly note that financial records implicate significant privacy interests. However, plaintiff has alleged a fraudulent transfer of substantial assets to these defendants to avoid satisfaction of a judgment. The modified requests are narrowly tailored to establish or refute the source of the funds used to purchase the property.

The court finds that plaintiff's need for the records, as modified, is sufficient to warrant production. The court's modification substantially narrows the scope of production from more than seven years to a limited window beginning approximately six months before the judgment, and further limits Request No. 5 to loan applications related solely to the subject property transaction. These modifications substantially reduce the privacy intrusion while preserving plaintiff's ability to pursue legitimate discovery.

Defendants' request for a protective order is addressed by the modifications ordered herein. To the extent defendants seek additional confidentiality protections, the parties may stipulate to a protective order governing the use and disclosure of the financial records produced.

DISPOSITION

The motion to quash is DENIED.

The motion to modify is GRANTED. The subpoenas are modified as follows:

1. Temporal Scope: All requests are limited to the period from May 1, 2024 through the present.
2. Request No. 5 is modified to seek only loan applications and financial statements submitted in connection with the purchase of the property located at 536 Cinnamon Drive, San Jose, CA 95111.
3. Requests Nos. 1 through 4, as set forth in the subpoenas and as modified by the temporal limitation in paragraph 1 above, shall stand.

The financial institutions shall comply with the modified subpoenas. Production shall occur within 30 days of service of this order on the financial institutions, or on such other date as the parties may stipulate.

Plaintiff to prepare the final proposed order, accompanied by the necessary Form EFS-020 within 7 days of the hearing.

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